

From: Simon, Stevi (EGLE)
Sent: 5/22/2026 9:45:30 AM
To: "Utilities@cadillac-mi.net" <Utilities@cadillac-mi.net>
Cc: "Lowe, Claire (EGLE)" <LoweC9@michigan.gov>; "Bragg, Justin (EGLE)" <BraggJ@michigan.gov>; "Fain, Rodger (EGLE)" <FainR@michigan.gov>; "evenema@fveng.com" <evenema@fveng.com>; "pmiller@cadillac-mi.net" <pmiller@cadillac-mi.net>
Subject: EGLE WRD Correspondence: SVN-01952_Cadillac WWTP
Attachments: SVN-01952_Cadillac WWTP.pdf

Good afternoon,
Please see the attached EGLE correspondence for your records.
If you have any questions, please contact Claire Lowe at LoweC9@Michigan.gov or 989-330-4639.

ATTACHMENT NAME:

SVN-01952_Cadillac WWTP.pdf

ATTACHMENT TYPE:

Adobe Portable Document Format (PDF) compound image



GRETCHEN WHITMER
GOVERNOR

STATE OF MICHIGAN
DEPARTMENT OF
ENVIRONMENT, GREAT LAKES, AND ENERGY
WATER RESOURCES DIVISION



PHILLIP D. ROOS
DIRECTOR

May 21, 2026

SVN No. SVN-01952

VIA EMAIL

Jeffrey Dietlin, Director of Utilities
Cadillac Wastewater Treatment Plant
200 North Lake Street
Cadillac, Michigan 49601

Dear Jeffrey Dietlin:

SUBJECT: Second Violation Notice
National Pollutant Discharge Elimination System (NPDES) Permit No. MI0020257
Michigan Industrial Pretreatment Program
Pretreatment Compliance Inspection
Designated Name: Cadillac WWTP

The Department of Environment, Great Lakes, and Energy's (EGLE), Water Resources Division (WRD), inspected the Cadillac WWTP, located at 1121 Plett Rd, Cadillac, MI 49601, on April 9, 2026, to determine compliance with National Pollutant Discharge Elimination System (NPDES) Permit No. MI0020257 (Permit), issued on November 29, 2023, and effective on January 1, 2024.

Patrick Miller from City of Cadillac participated in the inspection with me, which included an interview, review of the Industrial Pretreatment Program (IPP) industrial user (IU) records for Cadillac Renewable Energy (CRE), AAR 6th Street (AAR), and Arvco Container Corporation (Arvco), a review of IU effluent sampling results, the 2025 IPP annual report, the Enforcement Response Plan (ERP), and a discussion on the in-progress IPP modifications.

The following concerns and/or violations were identified and/or discussed during the inspection.

1. The City of Cadillac is currently in the process of updating its IPP procedures manual, Sewer Use Ordinance (SUO), local limits, ERP, and IU Permits undertaken in response to IPP violations previously identified by WRD in VN-011108, dated October 22, 2020, and VN-012230, dated September 30, 2021. During the inspection, clarification was requested by the City of Cadillac on the current status of its updates. For your reference, WRD has prepared the summary below:

Program element	Date of last WRD review	Revision due date	Status
Procedures Manual	January 13, 2026	March 16, 2026	Not submitted
Enforcement Response Plan	January 13, 2026	March 16, 2026	Not submitted
Sewer Use Ordinance	January 13, 2026	March 16, 2026	Not submitted
Local Limits (existing limits)	October 13, 2025		Approved – Not adopted.
Local Limits for Benzidine, Beryllium, and Phenol	March 9, 2026	Submitted April 4, 2026	Comments attached.
Industrial User Permits	October 9, 2024	Submitted with Procedures Manual.*	Not approved.

*The draft IU permits were reviewed and comments were provided by WRD on October 9, 2024. The draft IU permits were re-submitted with the revised Procedures Manual (June 2025 version) under Appendix L; however, these appear to be the same permits that were previously reviewed and commented on by WRD. A copy of the comments on the draft permits as previously provided on October 9, 2024, is attached for your reference.

- Review of the City of Cadillac IU files showed that minimally required information on the users is not available, such as the facility contact information, the average and maximum daily total flow, process flow, categorical process start dates, process descriptions or flow diagrams, and discharge drain diagrams. The current information on file is inadequate to correctly categorize and permit the IUs. The in-progress program revisions appear to adequately address this for future permits through the permit application requirements. For the draft permits, this information has likely been collected during review of the IUs by Fleis and Vanderbrink (F&V) on behalf of the City of Cadillac, however this information was not available on file for review during the inspection. The City of Cadillac must maintain this information on file for a period of at least three years once the draft permits are issued.
- It could not always be determined if the POTW responded to effluent monitoring violations within the appropriate time frame. The ERP requires the POTW to notify the IU within 15 days of becoming aware of a violation. The Michigan Part 23 Pretreatment rules (Part 23) also require resampling of parameters in violation of the effluent limits within 30 days of becoming aware of a violation. For

parameters that are analyzed by the POTW lab, it is unclear based on the documentation on file when the POTW became aware of an effluent violation. As it cannot be determined if the POTW is notifying IUs appropriately and requiring resampling within the required 30-day timeframe, the documentation on file is inadequate. Failure to develop and maintain records necessary to determine compliance with the Part 23 rules is a violation of the NPDES Permit – Part 1.C.1 - Michigan Industrial Pretreatment Program. A record must be maintained on file of the date the POTW became aware of any IU violation.

4. Review of the IU file for AAR showed that there is currently no categorical process flow information documented in the file and reporting of this information is not required by the permit. The AAR facility is classified as a categorical industrial user (CIU) under the 40 Code of Federal Regulations (CFR) Part 433 metal finishing subcategory. The Part 23 rules require CIUs to report at least semi-annually the measured average daily and maximum daily flow for each regulated process wastestream and other wastestreams as necessary to allow use of the combined wastestream formula (CWF). While the draft permit submitted for AAR does state that reporting of the above flow information is necessary for users applying the CWF, it does not clearly state that the CWF must be applied for the AAR facility as the sampling location combines regulated process flow with unregulated and/or dilute wastestreams. Failure to require appropriate flow reporting according to the Part 23 requirements is a violation of the NPDES Permit – Part 1.C.1 – Michigan Industrial Pretreatment Program. The permits must clearly state the flow information that must be collected and reported by the CIU, and when the CWF must be applied to determine the alternative categorical limit.
5. Review of the current AAR permit showed that the effluent limits include a dichloroethylene limit of 100 ug/L and a toluene limit of 100 ug/L. The current adopted local limit for toluene is 124 ug/L and there is no approved local limit for dichloroethylene. The dichloroethylene and toluene limits stated in the permit are not enforceable under the SUO. Part 23 rules require that IU permits are enforceable and that they contain local limits developed according to the Part 23 rules. Failure to ensure that the IU permit is enforceable is a violation of the NPDES Permit – Part 1.C.1 - Michigan Industrial Pretreatment Program. The draft AAR permit removes both the above effluent limitations; however, the draft revised permits cannot be issued with the new approved local limits until these have been adopted to the SUO. Other outstanding deficiencies in the draft permits must also be corrected. Please refer to the attached comments on the draft IU permits for further information on the required changes.
6. For the parameters analyzed by a contact laboratory, the date of the lab report shows that the POTW did not always issue the notice of violation (NOV) within 15 days of becoming aware of the violation. For example, the NOV for the AAR cyanide violation occurring on January 8, 2025, was not issued until February 18,

2025; 28 days after the POTW became aware of the violation on January 21, 2025. Failure to respond to non-compliance according to the ERP is a violation of the NPDES Permit – Part 1.C.1 - Michigan Industrial Pretreatment Program. The City of Cadillac must respond to instances of non-compliance according to the current approved ERP.

7. Review of the IU permits for Arvco, CRE, and AAR showed that all these IUs were required to submit an updated spill prevention plan by April 1, 2025. No such submission was found on file for any of these IUs and no documentation of any response by the City of Cadillac was found. Follow-up questions to Patrick Miller showed that there was no response action taken by the City of Cadillac. The ERP requires a phone call or NOV to the IU for late submission of required reports which are determined to be non-significant violations. The ERP requires the City of Cadillac to respond to reports which are more than 30 days late with a minimum of a NOV. Failure to implement the ERP in response to industrial user non-compliance is a violation of the NPDES Permit – Part 1.C.1 - Michigan Industrial Pretreatment Program. The City of Cadillac must respond to instances of non-compliance according to the current approved ERP.
8. The effluent limit violations resulting in significant non-compliance (SNC) by the IUs listed in the following table were reported by the City of Cadillac in the 2025 IPP annual report and/or identified during the IU file review. The current approved ERP requires the City of Cadillac to respond to all violations meeting the criteria for SNC with an enforceable order within 60 days of identification of the SNC status. As noted in the table below, the City of Cadillac did not respond to any reported SNC with an enforceable order as required by ERP. Failure to respond to non-compliance according to the approved ERP is a violation of the NPDES Permit – Part 1.C.1 - Michigan Industrial Pretreatment Program. The POTW must respond to instances of non-compliance according to the current approved ERP.

Industrial User Name	Parameter	Compliance status by quarter	Effluent ERP minimum response	POTW Response
AAR 6th Street	Cyanide	Significant non-compliance – 2025 Q1	Administrative Order	NOV and SNC publication
AAR Rinse Tank	Cyanide	Significant non-compliance – 2025 Q1	Administrative Order	NOV and SNC publication
Cadillac Casting Inc	Molybdenum	Significant non-compliance – 2025 Q1, Q2, Q3, Q4	Administrative Order	NOV and SNC publication
Cadillac Casting Inc	Cadmium	Significant non-compliance – 2025 Q1, Q2, Q3	Administrative Order	NOV and SNC publication
Arvco	Copper	Significant non-compliance – 2025 Q1, Q2, Q3, Q4	Administrative Order	NOV and SNC publication
Fiamm Technologies	Copper	Significant non-compliance – 2025 Q1, Q2, Q3, Q4	Administrative Order	NOV and SNC publication
Hutchinson Antivibration Systems	Copper	Significant non-compliance – 2025 Q1, Q2, Q3, Q4	Administrative Order	NOV and SNC publication
Michigan Rubber Products	Copper	Significant non-compliance – 2025 Q1, Q2, Q3, Q4	Administrative Order	NOV and SNC publication

The WRD issued a Violation Notice (VN), No. VN-012230, on September 30, 2021, in response to violations of NPDES Permit No. MI0020257, which was issued on August 30, 2019, and effective on September 01, 2019.

VN-012230 identified that the City of Cadillac had failed to implement the approved ERP in responding to instances of SNC by Cadillac Casting Inc. VN-012230 also identified that the concerns regarding failure to respond to non-compliance according to the ERP were previously addressed in VN-011108, dated October 22, 2020. A follow-up letter to VN-012230, dated November 4, 2021, also clarified that Cadillac WWTP must respond to instances of non-compliance with the current program according to the existing

approved ERP. As noted under items 6, 7 and 8 above, as of the April 9, 2026, inspection, Cadillac WWTP has failed to respond appropriately to instances of non-compliance according to the approved ERP.

The violations identified in VN-011108, VN-012230, and this SVN are violations of the Permit.

The violations identified in this SVN are continuing.

The City of Cadillac should take immediate action to achieve and maintain compliance with the terms and conditions of the Permit.

Please submit a written response via MiEnviro by the dates given below. A schedule of compliance, titled "SVN-01952," has been created in MiEnviro specifically for this purpose and can be found in the "Upcoming" tab on the Cadillac WWTP MiEnviro Portal Dashboard. Please be aware that the existing schedules of compliance for items under VN-012230 are superseded by this SVN. At a minimum, the response shall include:

1. A written response to items 2, 3, 6, 7, and 8, above, including the corrective actions that will be taken, by June 21, 2026.
2. An updated procedures manual, SUO, and ERP, including responses to comments provided on January 13, 2026, by July 17, 2026.
3. Updated IU permits, including response to comments provided on October 9, 2024, (attached), and under items 4 and 5, above, by July 31, 2026.
4. A certified copy of adoption of the approved local limits modifications to the SUO (see approval letter dated October 13, 2025) for the City of Cadillac and any contributing municipalities, by July 31, 2026. Please refer to legal counsel for procedures on local public noticing requirements for adoption of local limits.
5. An updated Maximum Allowable Headworks Loading (MAHL) Study for Benzidine, Beryllium, and Phenol responding to the attached MAHL Study comments by June 30, 2026.

If you have any additional facts you would like us to consider regarding the violations identified in this SVN, please provide them with your written response.

Compliance with the terms of this SVN does not relieve City of Cadillac of any liability, past or present, from the failure to meet the conditions specified in the Permit.

The WRD reserves its right to take all necessary and appropriate enforcement actions for all violations observed to date and any violations that occur in the future. This may include civil action seeking fines, enforcement costs, injunctive relief, and potential criminal prosecution.

We anticipate and appreciate your cooperation in resolving this matter. Should you require further information regarding this SVN or if you would like to arrange a meeting

Cadillac WWTP

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to discuss it, please contact Claire Lowe at 989-330-4639; LoweC9@Michigan.gov; or
EGLE, Cadillac District Office-WRD, P.O. Box 30458, Lansing, Michigan 48909-7958.

Sincerely,

A handwritten signature in cursive script, reading "Justin Bragg".

Justin Bragg, District Supervisor
Cadillac District Office
Water Resources Division

CL:SLS

attachment

cc: Elaine Venema, F&V
Claire Lowe, EGLE
Rodger Fain, EGLE
Patrick Miller, City of Cadillac

From: Lowe, Claire (EGLE)
Sent: 10/9/2024 12:26:03 PM
To: "Elaine J. Venema" <evenema@fveng.com>
Subject: IU Permit notes
Attachments: Cadillac WWTP IU Permits comments summary.docx

Hi Elaine,

My notes for our meeting today on the permit reviews are attached, if they are helpful.

Claire Lowe

Environmental Quality Analyst

Water Resources Division, Gaylord District Office

Michigan Department of Environment, Great Lakes, and Energy

[989-330-4639](tel:989-330-4639) | LoweC9@Michigan.gov

Michigan.gov/EGLE



MICHIGAN DEPARTMENT OF
ENVIRONMENT, GREAT LAKES, AND ENERGY



ATTACHMENT NAME:

Cadillac WWTP IU Permits comments summary.docx

ATTACHMENT TYPE:

Microsoft Office 12+, Office Open XML (OOXML/OpenXML): document (DOCX)

Cadillac WWTP IU Permits

All permits:

Application due date (renewal): The cover page of the permit includes a space for entering the due date for the submission of a permit application for reissuance. The instructions state this date should be at least 90 days prior to the permit expiration date. While the Cadillac SUO contains a requirement to submit a permit application (Sec 42-484 and 42-485) for an industrial user permit, the requirement is for only 60 days prior to connection for new sources. The SUO does not contain any requirement (that I could find) to apply for reissuance. It is recommended that the SUO is modified to include a requirement to apply for reissuance of the IU permit and a due date. If this is added to the SUO the language in the draft permit is acceptable.

Part 136: Part 1.C requires the user to perform analysis using methods approved under CFR Part 136. The reference is incomplete and must be corrected to include title 40, as 40 CFR Part 136 to ensure that the user is able to find the correct information.

Discharge prohibitions: Part 2.1 references chapter 42 of the SUO for a listing of the discharges that are prohibited to the sanitary sewer. That appears to refer to Sec. 42-337. This section contains the required specific prohibitions but does not include the general prohibition on the discharge of any pollutant that causes pass through (R 323.2303(1) and 40 CFR 403.5(a)(1)). The POTW must have the legal authority to require compliance with the applicable pretreatment standards, including the general and specific prohibitions. The SUO must be modified to include the complete general prohibitions. EPA guidance also recommends that the general and specific prohibitions are also directly included in the permit with the verbatim language from the SUO rather than by referencing the SUO.

Slug load reporting: The permit conditions do not include a requirement to immediately report any discharge that could cause problems to the POTW, including any slug loadings (R 323.2310(5)). This requirement must be added to the permit.

Unanticipated by-pass: Part 3.5.c.2 of the permit requires immediate notification of unanticipated bypasses. This exceeds the requirements of Part 23 (R 323.2316(2)-24 hours), however the Cadillac SUO only requires notification within 1 hour of becoming aware of the bypass. Therefore, there does not appear to be adequate legal authority to require immediate notification of unanticipated bypasses as required by the permit. Either the permit must be modified to conform with the legal authority or the SUO must be modified to provide sufficient legal authority for the permit requirement as stated.

Hazardous waste notification: Part 3.6 incorrectly references R 323.2310(5) for instructions on hazardous waste notification procedures. The correct reference is R 323.2310(15). Please correct the reference in the permit.

Changes in flow process or discharge : Part 3.7 of the permit includes notification requirements for changes in processes or expansions to the facility, changes in production for production-based or equivalent mass based limits, or changes in information that could change the CWF calculations. It is clear from this section that changes due to anticipated facility expansions or process changes are required at least 60 days prior to the change. It is not clear if this 60-day time frame also applies to other anticipated changes listed above because no other timeframe is given for these required notifications. The permit must include the requirement to immediately

notify the POTW of changes to the information used to calculate fixed alternative limits using the combined wastestream formula (R 323.2311(7)), if applicable. For permits with equivalent mass or contraction limits based on production-based limits, the permit must also require notification within two business days after the user has a reasonable basis to know that production level will significantly change within the next calendar month (R 323.2311(5)(g)).

Continuing Compliance Reports: Part 3.10 incorrectly states reports are due twice per month (June and December). The permit must be corrected to clarify the required reporting frequency.

Continuing Compliance Reports: Based on review of the draft IPP manual it was my understanding that Cadillac would require the users to complete and submit a standard reporting form as given in Appendix H. If this form is required to be used, it should be stated in the permit (and SUO) that it is required. If the reporting form is not required then the permit will also need to state other information that is required in the report. This would include the certification statement required under R 323.2310(11) and set forth in R 323.2311(2)(b)(ii), and specify the report must be signed by one of the people authorized under R 323.2310(11).

Records: Part 3.11 of the permit states that records are required to be kept for a period of three years but does not state what information must be included in the records. At a minimum, these records must include the date, place, method, and time of sample collection, and the person responsible for collecting samples (R 323.2310(14)(a)(i)), and the date and method of sample analysis, results of the analysis, and the person responsible for completing the analysis (R 323.2310(14)(a)(ii) – (a)(v)). As the user is also required to comply with the requirements of 40 CFR Part 136, the records should also include the information necessary to demonstrate compliance with those requirements (hold time, use of preservatives etc.) The permit must clarify what records are required.

Flow reporting: The permit template language does not clearly state what the flow reporting requirements are for non-categorical SIUs. Part 3.10, under continuing compliance reports, states “measured annual and maximum daily flow (in gpd) for each regulated process and other wastestreams as necessary to allow for the use of the combined wastestream formula”. As non-categorical SIUs have neither regulated process (categorical process) flows or wastestreams used in the CWF, there is no flow reporting requirement specified for these types of facilities. Flow reporting for non-categorical SIUs is required by R 323.2310(7) and must be included in the permit. Note that some SIU permits (AAR Fac) have another flow reporting requirement under Part 2, but most SIU permits do not.

Categorical Permits:

It isn't clear from the permits for AAR 6th street, AAR RT, and ARKWEL if there is combined flow for the categorical sampling points. For those permits with combined categorical and unregulated/dilution flow at the sample point the permit must require that either the user apply CWF or the City must calculate CWF alternative limits for inclusion in the permit. If appropriate flow monitoring is not present to calculate the CWF the permit should require installation of flow monitoring to allow this calculation or sampling points immediately downstream of the categorical process/treatment (if any).

AAR 6th Street:

Effluent limitations tables: The permit provides both categorical limits and local limits, as required. It is noted that the local limits in bold are the more stringent limits, however it is not clear if there is any flow to the sampling location other than the categorical process flow that would require CWF to be applied. If there is not, then I agree that the parameters in bold are more restrictive, except for available cyanide. The categorical limits include a total cyanide limit. While the local limit for available cyanide is much lower than the categorical total cyanide limit, it is not possible to determine compliance with the total cyanide limit by only testing for available cyanide, a sub-set of total cyanide. Total cyanide must be included in the sampling requirements table.

TTO limitation: The categorical TTO limit is not included in the sampling requirements, and it is noted a certification must be submitted to waive TTO monitoring. It is not clear if a TOMP has already been submitted and approved by Cadillac. If a TOMP has not already been approved, then the TTO monitoring requirement (frequency and sample type) must be included in the permit and the option to submit a TOMP given in the permit. The permit also requires annual submission of a certification letter. R 323.2310(6)(a) requires certification statements required by the categorical standards to be submitted in the semi-annual compliance report, therefore the permit must require this certification twice annually. The certification statement must match that given under 40 CFR 433.12(a). Unless this is provided to the user in a reporting form required by the permit then it is recommended that the permit include the statement or the reference to find the statement.

Flow reporting: Part 2.3 of the permit requires daily flow reporting to the City on a monthly basis. In addition, Part 3.10 of the permit also requires daily and maximum daily flow reporting for the categorical process and other wastestreams as needed for CWF in the semi annual report. Is Part 2.3 intended to require the total flow from the sample location? If the categorical flow is the only discharge to this outfall are these the same? I think Part 2.3 needs clarification about what flow monitoring is required.

AAR RT:

Facility address: AAR RT and AAR Fac are the same address – is there a reason this is permitted as two different facilities instead of just two different outfalls at the same facility? I think it's acceptable to do it this way, but seems burdensome for application, permitting fees, permit writing, reporting etc.

Effluent limitations tables: As with AAR 6th street. Is there any other flow other than the categorical wastestream? This information is needed to determine if the given limits are correct or need CWF adjustment

Only available cyanide is required to be monitored in the table. The categorical limits include total cyanide, so as with AAR 6th street this had to be added.

TTO limitation: It's not clear if a TOMP has been submitted and approved. If it has not, TTO needs to be included in the monitoring table until a TOMP is approved. As with AAR 6th street the annual TTO certification letter is insufficient. The certification statement must be submitted twice annually with the semi-annual report.

AKWEL:

Effluent limitations: Confirm that there is no wastestream other than categorical to any of the three outfalls. Confirmed with Elaine that there is combined flow for all three outfalls. CWF adjusted limits and flow monitoring are required for each outfall, or appropriate categorical sample points.

CCI:

Comment on the production reporting is wrong – the limits are not given as verbatim, they're based on the long term average production (scrubber volume of air scrubbed). Sent Elaine an email correcting this on 10/4/24.

Michigan Rubber:

This facility is listed as an SIU – no categorical limits. Confirmed that this is correct – the facility does not produce rubber parts, only assembles them, so this is correctly classified.

Cadillac WWTP MAHL (Benzidine, Beryllium, Phenol), submitted April 2026.

WRD Comments May 13, 2026. Claire Lowe.

- The study uses a plant removal efficiency (R_{POTW}) for phenol of 54.4% based on site specific removal data (page 5, Table 3). This removal efficiency is calculated based entirely on surrogate values as all influent and effluent results were non-detect, as stated in tables A13 and A14 (page 20), and the provided lab reports. The EPA Local Limits Development Guidance (EPA 833-R-04-002A) does not recommend the use of surrogate data if most data points are below the minimum level of quantitation of the method used. Please see EPA Local Limits Development Guidance Section 5.1.3, and Table 5-1 for more information. As stated in the comments on the previous version, it is recommended that the Appendix R literature value is applied instead of using surrogate values.
- The Removal efficiency (R_{prim}) applied in Table A3 for phenol is 18%. This doesn't agree with the stated removal efficiency used on p5, Table 3, which is the literature R_{prim} value of 8%.
- Table 11, page 8, states the calculated local limit for phenol as 2012 ug/l, but proposes to maintain the existing local limit as 1236 ug/L. While based on the calculations provided it appears that the existing phenol limit is protective of the POTW, the current limit appears more restrictive than is necessary, and may not be defensible as a technically based limit. It is recommended that a limit is proposed based on the MAHL calculations to ensure that if challenged the limit is defensible.
- The domestic flow (Q_{dom}) applied in table A5 is 0.8571 MGD. The domestic flow used in all other calculations agrees with the flow reported on page 10, Table A1 as 0.8362 MGD.
- The plant removal efficiency (R_{POTW}) for benzidine is reported as 87.7% as stated on page 5, Table 3, and used in subsequent calculations. Review of the removal calculations as given on page 20, Tables A13 and A14 show that the influent and effluent data points are averaged and rounded prior to calculating the removal. Rounding the data after calculation of the R_{POTW} produces lower removal efficiency of 87.5%. This does not result in a significantly different local limit but does alter the calculations.